

going up significantly, demand is still holding up. This keeps me optimistic.

Q: Given the high levels of inflation all around putting stress on household budgets, are margins under threat?

A: The cost of raw materials is at an all-time high. And yes, you can't expect the consumers to absorb the entire hike in input costs... There is a balance that we have to strike between growth and margins. I think it is a great opportunity for the country to stay on the path of growth. So, safeguarding margins through higher efficiency would be important. By the time [the] pressure eases, margins will improve. But yes, in the short term, margins will be under pressure.

Q: Don't you think that the unprecedented levels of inflation may also impact overall demand and, thus, slow the growth momentum?

A: Hopefully not, because we have witnessed some signs of cooling off in raw material prices... I hope that trend will continue and this [inflation] is temporary.

120 | **Q: While large enterprises and the overall organised sector is growing at a relatively decent pace after the pandemic, many households have been tackling crises like unemployment and lower income levels....**

A: Yes, the organised sector is doing well. Income levels for people in the organised sector are getting better and thus helping the demand. Unfortunately, what has been affected the most is the unorganised sector. It will take more time to make a comeback. Further, players in certain industries like entertainment or hospitality—organised or unorganised—continue to be impacted. This is taking a toll on employment and thus, on demand. Hopefully, with the pandemic now slowing, it should recover within the next two years.

Q: What factors could drive the industry in the long run?

A: In the past few years, the digital wave that has taken place, especially in the rural areas, is changing the landscape. There are a few important aspects of this. First, the products are becoming more digitised and connected. We are getting closer to the consumer. This trend will continue for the next 10 years, when more chips and IT components will be incorporated into consumer products. Second, the consumer is also coming closer to the brands due to digital commerce. Some 5-10 years ago, the whole scheme of things—like for the FMCG industry—was dependent on distribution penetration. Today, the horizon—whether through traditional distribution



“Local manufacturing has gained significant importance. Ten years ago, industry players would have been happy to visit China, source products in bulk and [sell under] their brand... Now, [local] manufacturing plays a bigger role”
